

FRVO

FRVO N/A

Buy	\$35.32 ▲ 0.37%	12M Price Target \$44.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.39B
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FRVO: Reiterate Buy as Geothermal Re-rate Builds, Bullish Initiations Lift Sentiment

WHAT'S CHANGED

- FRVO rallied +5.2% over the past four sessions (\$33.57 → \$35.32) on bullish Wall Street initiations citing geothermal scale-up thesis (Investing.com, 6/8); stock now sits at 29% of 52-wk range with declining volume into the move (956K vs. ~1.6M avg).
- Options tape is starkly disconnected: P/C ratio of 9.63 (2,763 puts vs. 287 calls) signals institutional hedging or skepticism into the rally despite no negative catalyst.

IMPLICATIONS

The geothermal re-rate narrative is strengthening — WSJ (5/25) and Barron's (5/18) both flagged the energy IPO window reopening, which directly benefits FRVO's enterprise value benchmarking and future capital raises for Cape Station expansion. With Tech ETF +3.78% on the day and hyperscaler power-demand commentary intensifying, FRVO's positioning as a 24/7 carbon-free baseload supplier to AI data centers becomes more strategically valuable. However, the extreme put/call skew suggests sophisticated money is protecting gains rather than chasing — implying near-term upside may be capped absent a fresh catalyst (PPA announcement, drilling milestone).

VALUATION

At \$10.39B market cap on FY2026E revenue of ~\$285M, FRVO trades at ~36x forward sales — a premium reflecting pre-commercial scale-up optionality rather than current cash flows. We anchor our \$44 PT on a 20x FY2027E EV/Revenue multiple, blended with a DCF capturing 1.5GW of contracted capacity by 2030; this implies ~25% upside. Multiple expansion hinges on Cape Station execution and additional hyperscaler offtake; contraction risk emerges if drilling cost/MW fails to hit sub-\$3.5M targets.

KEY RISKS

- Execution risk on Cape Station Phase I/II — drilling cost overruns or subsurface temperature shortfalls would impair the LCOE bridge to competitiveness vs. solar+storage.
- Capital intensity: continued equity raises at sub-target valuations dilute holders; insider ownership (22%) plus low institutional float (18.3%) creates thin two-sided liquidity.
- Options market signaling (P/C 9.63) suggests downside hedging by informed holders — potential overhang into next earnings or filing.

RECENT NEWS

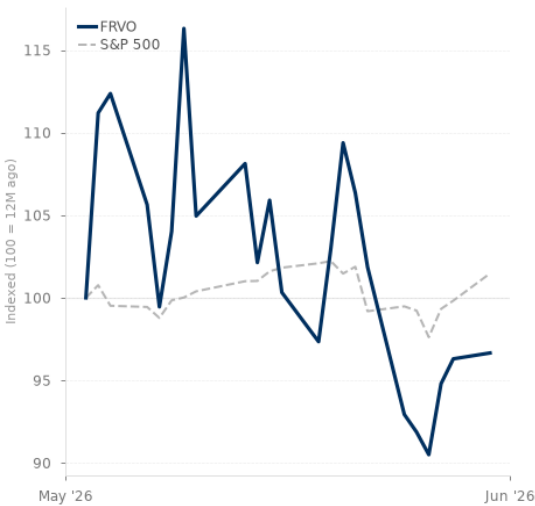
Key Data

Price (USD)	\$35.32
12M Price Target	\$44.00
Upside / (Downside)	+24.6%
Market Cap	\$10.39B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$37.00	\$32.00
6 Months	\$48.00	\$42.00	\$30.00
1 Year	\$58.00	\$44.00	\$28.00
2 Years	\$75.00	\$55.00	\$25.00
5 Years	\$130.00	\$80.00	\$20.00
10 Years	\$250.00	\$140.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.78% 1D), Materials (+5.08% 5D)

COLD SECTORS: Communication Services (+0.48% 1D), Utilities (relative laggard at +0.47%)

ROTATION WATCH: Capital is rotating into AI-infrastructure beneficiaries (Tech leadership) and commodity-linked Materials on reflation; FRVO sits at the intersection as a "picks-and-shovels" power play for AI buildout rather than a traditional Utility.

BYPRODUCT PLAY: Drilling services, downhole tools (legacy oilfield names repurposed for EGS), and lithium co-production from geothermal brines all become more investable as the geothermal narrative widens.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Independent power producer trading at premium multiple on nuclear-to-AI thesis — read-through positive for FRVO baseload narrative.
- GEV (GE Vernova): Grid/turbine play +outperforming utilities sector on data-center capex cycle.

FRVO CONTEXT: FRVO is participating in but not leading the AI-power re-rate — at 29% of 52-wk range, it lags VST and GEV which sit near highs. This suggests skepticism on execution timeline; a successful drilling milestone could close the relative gap quickly.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$33-34 on pullbacks toward 52-wk low

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station Phase II delays >2 quarters or loss of major hyperscaler PPA

Hedging: Long XLU or pair vs. overvalued solar developer short